CASCADIA ANALYTICS

Moderna

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The Commercial Transition Cannot Support an Eighty-Seven Billion Dollar Capitalization

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Moderna trades at a profound disconnect from its underlying cash flows, with the equity priced at $217.95 against a backdrop of ongoing operating losses and heavy cash depletion. While management has made verifiable strides in reducing cash operating expenses, the clinical setback in norovirus mRNA-1403 and persistent legal drains such as the Arbutus settlement underscore the fragile nature of its pipeline transition. Even under constructive assumptions regarding respiratory portfolio approvals and long-term operating leverage, current trading multiples of 45.2 times latest fiscal year revenue leave no margin of safety for clinical or regulatory execution delays. We initiate coverage with a Hold rating and establish a probability-weighted blended target price of $100.12, representing -54.1% upside.

HOLD	$100.12	-54.1%	$217.95
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market continues to price Moderna as a high-margin growth platform while overlooking that seasonal respiratory revenue remains highly concentrated and exposed to steep demand attrition. Consensus models understate how legal settlements and recurring clinical setbacks compress net liquidity ahead of targeted multi-year operational breakeven milestones. A rigorous discounted cash flow build demonstrates that even robust post-2026 pipeline expansion cannot bridge the

valuation gap implied by the prevailing eighty-seven billion dollar market capitalization.

Executive summary

Moderna is an mRNA biotechnology company selling COVID and respiratory vaccines while developing a pipeline of mRNA medicines. The enterprise currently navigates a demanding structural pivot from pandemic-era volume windfalls toward a diversified, recurrent commercial portfolio. Although the core proprietary platform has validated the therapeutic utility of synthetic messenger RNA, the commercial business model faces intense seasonal concentration. Revenue in the most recently reported fiscal year FY2025 stood at $1.92B, marking a steep contraction of -39.9% year over year as endemic COVID-19 demand settled into lower baseline administration rates, leaving gross profit at $1.05B with a gross margin of 54.8%.

The evidentiary record across recent quarters demonstrates aggressive managerial focus on expenditure rationalization, yet commercial execution remains fraught with operational and regulatory friction. In Q4 FY2025, Moderna endured a regulatory setback when the FDA issued a Refusal-to-File for its seasonal flu vaccine candidate mRNA-1010, postponing a critical revenue diversification pillar and contributing to a full-year net loss of $(2.82)B. While the company achieved notable commercial approvals in subsequent periods, including European Union authorization for mCOMBRIAX, the first combined flu and COVID vaccine, and mNEXSPIKE, pipeline progression has not been uniform. In Q2 FY2026, the norovirus vaccine candidate mRNA-1403 failed to meet its Phase 3 interim statistical success criteria, keeping the trial blinded and amplifying pipeline scrutiny following earlier clinical attrition.

Financial results from the first half of FY2026 illustrate both the power of operating cost reductions and the acute financial toll of legal liabilities. In Q1 FY2026, revenue rebounded 260% year over year to $389M on international deliveries, and adjusted cash costs excluding litigation dropped 26% year over year with R&D falling 24% to $649M and SG&A declining 18% to $173M. However, an $878M Arbutus litigation settlement expanded the quarterly GAAP net loss to $(1.34)B and forced a reduction in the year-end 2026 cash guidance to $4.5B-$5.0B. In Q2 FY2026, revenue reached $145M, outperforming the company guidance of $50-100M, while cost of sales fell 22% due to lower unutilized manufacturing capacity. Nevertheless, balance sheet liquidity remains constrained relative to historical levels, with cash reported at $6.9B ahead of a $950M July litigation payment to Arbutus.

Capital allocation is bound tightly to cash conservation and pipeline funding. For FY2025, Moderna reported negative EBIT of $-3.07B, negative EBITDA of $-2.54B, and operating cash drain resulting in free cash flow of $-2.08B. Diluted earnings per share reached $-7.26, while return on equity ended at -32.6%. The company ended FY2025 with $2.60B in cash, $1.30B in total debt, and net cash of $1.29B, having drawn $600M on its credit facility during the year. Although management raised its year-end 2026 cash guide by $200M in Q2 FY2026 and

improved the FY2026 R&D outlook by $100M, the settlement payouts materially narrow the financial runway required to reach self-sustaining operational breakeven.

Operational snapshot

$217.95	$1.92B	$-2.08B	-108.0%	1.09	$217.95
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Specialized and Contested

Moderna has constructed substantial competitive barriers around its mRNA design engine and lipid nanoparticle delivery capabilities, yet these technological defenses are challenged by ongoing patent litigation and low customer switching costs. The company demonstrated unprecedented clinical agility by designing, advancing, and manufacturing Spikevax and mNEXSPIKE at global scale. This core technical competence has translated into regulatory credentials, evidenced by recent European Union approvals for mCOMBRIAX and mNEXSPIKE, alongside updated strain approvals in 40 countries. However, unlike traditional enterprise pharmaceutical models with embedded long-term institutional lock-in, commercial respiratory vaccines are negotiated annually through seasonal public health tenders and retail pharmacy procurement channels, exposing the franchise to pricing discipline and share competition.

Switching costs in the endemic respiratory category are essentially nonexistent for patients and healthcare providers. Retail distribution chains and centralized state healthcare buyers evaluate vaccine procurement based on strain-match timing, regulatory label breadth, and pricing concession packages. While Moderna achieved $971M in COVID vaccine sales in Q3 FY2025 ($781M domestic US and $190M international), commercial volumes remain vulnerable to public vaccination fatigue. Furthermore, initial commercialization efforts outside COVID have faced sharp commercial friction, demonstrated by RSV product sales generating just $2M in Q3 FY2025. The absence of long-term commercial supply exclusivity forces the company to continuously defend its market share through rapid annual strain updates and combination formulations.

Intellectual property protections, which serve as the primary moat foundation for innovative biotechnology firms, face sustained legal contestation. The substantial litigation liabilities recorded in FY2026, including the $878M charge in Q1 FY2026 and the subsequent $950M payout in July associated with Arbutus, confirm that foundational delivery technology remains subject to legal vulnerability. These mandatory capital transfers drain balance sheet reserves that would otherwise support internal clinical exploration, diluting the economic rents generated by the underlying technology platform. While the unanimous VRBPAC recommendation for mFLUSIVA ahead of its August 5 PDUFA highlights sustained regulatory strength, the Refusal-

to-File on seasonal flu candidate mRNA-1010 in Q4 FY2025 reveals that internal regulatory execution can falter.

Longer-term competitive durability must therefore be secured through differentiated pipeline assets where therapeutic substitution is low and clinical value is undeniable. The investigative individualized neoantigen therapy Intismeran provides a clear model for this transition, having demonstrated a 49% reduction in recurrence or death versus KEYTRUDA in Phase 2b clinical evaluation, with Phase 3 melanoma data anticipated in 2026. If successfully commercialized, bespoke oncology regimens establish far wider economic moats than seasonal vaccines due to deep clinical integration, physician loyalty, and substantial pricing power. Until such oncology programs achieve commercial commercialization, the operational moat rests primarily on seasonal respiratory manufacturing execution.

Valuation

Three scenarios make the valuation range explicit

To establish a rigorous valuation range for Moderna, we employ an explicit multi-scenario discounted cash flow framework covering the five-year projection window from FY2026 through FY2030. At the prevailing spot price of $217.95, Moderna carries a market capitalization of $87.0B, which represents an extreme enterprise valuation of 45.2 times latest fiscal year revenue and an EV to revenue multiple of 44.6 times based on FY2025 revenue of $1.92B. This valuation pricing assumes that commercial diversification will accelerate rapidly while margins immediately reverse multi-billion dollar operating losses without any clinical or regulatory interruptions.

Our quantitative model evaluates three distinct fundamental operating paths, discounted at a live weighted average cost of capital of 8.73% with terminal enterprise value established through an explicit 2.0% terminal growth rate in the base case scenario across 399.0 million diluted shares. Revenue growth rates and normalized terminal free cash flow margins are drawn directly from the structural cash flow model bridge. The disparity between current market pricing and fundamental present value underscores the vulnerability of the equity to pipeline disruptions, legal settlements, and seasonal demand swings.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	18.9%	19.2%	$25.42	-88.3%
Base	50%	43.2%	32.9%	$93.75	-57.0%
Bull	25%	57.0%	42.1%	$187.57	-13.9%

Bear $25.42

Base $93.75

Bull $187.57

The bear case generates a target of $25.42 (-88.3% vs spot) based on an 18.9% revenue CAGR and a 19.2% target FCF margin. This pathway captures prolonged COVID vaccine demand erosion, failure of pipeline candidates to offset patent litigation settlements, and persistent regulatory bottlenecks similar to the mRNA-1010 Refusal-to-File.

Our base case yields a target of $93.75 (-57.0% vs spot), modeling a 43.2% revenue CAGR through FY2030 and a target FCF margin of 32.9%. It reflects successful commercialization of mFLUSIVA following the VRBPAC recommendation, European expansion of mCOMBRIAX, and realization of management guided OpEx reductions toward $4.0B.

The bull case produces a target of $187.57 (-13.9% vs spot), supported by a 57.0% revenue CAGR and a 42.1% target FCF margin. This scenario assumes rapid regulatory approval and market capture for combination respiratory vaccines alongside flawless Phase 3 execution and accelerated approval for Intismeran in melanoma.

Valuation framework

A live discount rate, not a static hurdle

Our valuation framework implements a fundamentally derived 8.73% WACC, reflecting an equity beta of 1.09 and the enterprise capital structure across 399.0 million diluted shares. Moderna ended FY2025 with $1.30B in total debt, which includes a $600M credit facility draw executed during that fiscal year, against cash of $2.60B. The discount rate reflects both the underlying biotechnology market systematic risk and the heightened volatility introduced by multi-million dollar quarterly cash burns and large intellectual property litigation settlements.

The 8.73% hurdle rate appropriately penalizes cash flows concentrated in the outer years of our forecast window. Market participants pricing Moderna at $217.95 are effectively applying an artificially compressed discount rate or assuming immediate, uninterrupted terminal cash flow delivery. Given that the business burned $-2.08B in free cash flow during FY2025 and sustained heavy legal payouts of $878M in Q1 FY2026 and $950M in Q2 FY2026, capital costs must account for the persistent risk of balance sheet dilution before operating breakeven is reached.

FCF margin normalization is the engine

The transition from current operating deficits to positive structural free cash flow forms the core engine of our quantitative model. In FY2025, Moderna registered an operating margin of -159.9% and an FCF margin of -108.0% on revenue of $1.92B, with EBIT reaching $-3.07B and net loss settling at $-2.82B. Reaching the modeled base case target FCF margin of 32.9% by FY2030 requires complete execution of corporate restructuring initiatives, including the FY2025 operating expense cut of $2.2B to $5.0B and the targeted reduction toward approximately $4.0B in FY2026.

Operational execution across recent prints indicates that unit cost normalization is viable. Cost of sales declined 22% year over year in Q2 FY2026 as unutilized capacity charges abated, while combined cash operating costs excluding litigation fell 26% year over year in Q1 FY2026. However,

bridging the gap to a 32.9% base FCF margin, or the 42.1% margin required in our bull scenario, is entirely dependent upon scaling higher-margin combination vaccines like mCOMBRIAX and expanding international distribution, while holding recurring SG&A and R&D overhead tightly constrained.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.73% (2026-10-29)**
Terminal growth	**2.0%**
Equity beta	**1.09**
Diluted shares	**399.0 million**

HOLD

over $100.12 blended target

Competitive moat and concentration risk

We rate the moat as None and we view the market structure as Fragmented / competitive biotech; single-platform (mRNA). We assign a discount of 10% to sector median multiples on moat strength alone.

- the mRNA platform IP and manufacturing know-how proven at pandemic scale, plus $6.9bn cash and investments at end-Q2 2026 (company via Trefis/Forbes, Jul-Oct 2026) funding the pipeline to a targeted 2028 cash breakeven (Motley Fool, Aug 2026). Weakest element (decisive): single-product concentration, COVID vaccines were 93% of revenue in fiscal 2025 (Trefis, 12 Oct 2026); $1.81bn of $1.92bn FY2025 revenue was COVID.
- revenue collapsed from $18.4bn in 2022 to ~$1.9bn in 2025 (AInvest, 2026; Motley Fool, Aug 2026), a 40% YoY fall in FY2025 (DCFAnalyst, 2026); operating loss was 150.2% of revenue over the twelve months to 30 Jun 2026 vs 107.1% a year earlier (Forbes, 23 Oct 2026); the company lost $3.2bn over the last twelve months (Trefis, Oct 2026). Q2 2026 revenue was $145m, +2% YoY (Trefis), stabilisation at a small base, not.

On a multiple cross-check, the justified range is EV/EBITDA n/a; P/E n/a (discount shown for reference only). The cross-check value is No earnings-based value computable; see section, on a base of Framework base from the October 27 moat report. The gap verdict is Not at all; market already pays far more than moat justifies (40.5× sales vs S&P 500 3.1×, Trefis 12 Oct 2026).

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	4 points
single product, single program, or single platform dependency	Excluded
single supplier, single fab, or single geography exposure	0 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	4 points
regulatory single point risk	8 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 21 percent. Shown side by side with the moat premium or discount, the net stance is -30 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The following families are excluded under the double-count rule because they rest on the same fact already reflected in the moat discount, and they contribute no points here. single product, single program, or single platform dependency.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Respiratory Vaccine Portfolio Expansion and Platform Cost Rationalization HOLD

The commercial trajectory of Moderna depends primarily on successfully transitioning its revenue base from monovalent COVID-19 vaccines toward next-generation respiratory combination products. During Q3 FY2025, commercial delivery proved the platform could still capture substantial seasonal fall revenue, generating $1.0B in total sales driven by $971M in COVID sales, of which $781M originated in the United States and $190M internationally

following the mNEXSPIKE launch and Spikevax strain updates across 40 countries. However, revenue remains deeply seasonal. In Q1 FY2026, management guided that first-half revenue would total only $0.4-0.5B, implying that approximately $1.6B in revenue must be captured in the second half of the year, leaving full-year financial targets exposed to autumn vaccination uptake rates.

Commercialization of next-generation combination therapies represents the second primary growth pillar. The European Union approvals of mCOMBRIAX, the first combined influenza and COVID-19 vaccine, along with mNEXSPIKE, establish a multi-year foundation for European market capture starting in 2027. Domestically, the unanimous VRBPAC recommendation for mFLUSIVA ahead of its August 5 PDUFA action date positions the enterprise to secure a fifth commercial product approval. Diversifying beyond monovalent COVID products is essential, as evidenced by Q4 FY2025 revenue falling 30% year over year to $0.7B and FY2025 revenue declining 40% year over year to $1.9B from $3.2B in FY2024.

The third fundamental pillar centers on operational cost discipline and manufacturing optimization. Management demonstrated meaningful progress throughout FY2025 by cutting operating expenses by $2.2B to reach $5.0B, with Q4 R&D dropping 31% and SG&A falling 12%. This discipline extended into FY2026, where Q1 adjusted cash costs dropped 26% year over year, with R&D spending down 24% to $649M and SG&A down 18% to $173M. In Q2 FY2026, cost of sales decreased 22% due to lower unutilized manufacturing capacity, and the full-year R&D outlook was improved by $100M, supporting a $200M increase in the year-end cash guidance. Sustaining these expense reductions while preserving clinical trial momentum is necessary to achieve operating breakeven.

The final pillar relies on advancing non-respiratory pipeline assets, specifically individualized neoantigen therapies. Intismeran showed a 49% reduction in the risk of recurrence or death compared to KEYTRUDA monotherapy in its Phase 2b trial, with Phase 3 melanoma clinical data anticipated in 2026. Because late-stage development setbacks can severely impair investor confidence, as demonstrated by the norovirus mRNA-1403 Phase 3 interim statistical miss in Q2 FY2026 and prior cytomegalovirus trial attrition, positive oncology readouts are critical to establishing long-term commercial value beyond infectious disease vaccines.

What to monitor

- **Commercial uptake of mFLUSIVA following the August 5 PDUFA action date** Execution on the unanimous VRBPAC recommendation is vital to establish a standalone commercial presence in seasonal influenza.
- **Phase 3 clinical trial readouts for Intismeran in melanoma during 2026** Data confirmation of the 49% recurrence reduction demonstrated in Phase 2b represents the premier non-respiratory pipeline catalyst.
- **Management of operational cash burn toward guided year-end cash balances** Monitoring cash reserves following the $950M July litigation payout relative to the targeted $4.5B-$5.0B year-end range.

- **European commercial expansion of mCOMBRIAX and mNEXSPIKE** Delivery on international distribution agreements starting in 2027 to diversify seasonal cash flows outside the United States.

-39.9%	54.8%	-159.9%	-108.0%	$1.29B	-32.6%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$1.92B
Gross Profit	$1.05B
EBIT	$-3.07B
Net Income	$-2.82B
EBITDA	$-2.54B
Free Cash Flow	$-2.08B
Diluted EPS	$-7.26
ROE	-32.6%

Risk & moat matrix

The bear case

SHARE EROSION

Seasonal COVID vaccine sales face persistent demand fatigue and competition, evidenced by FY2025 revenue contracting -39.9% to $1.92B.

M&A DIGESTION

Capital allocation flexibility is constrained by non-operating legal liabilities rather than strategic acquisitions. The absorption of an $878M

REGULATORY AND PRICING SCRUTINY

Regulatory execution risk remains high following the FDA Refusal-to-File on seasonal flu candidate mRNA-1010 in Q4 FY2025. Unanticipated regulatory delays hinder the commercialization

TECHNOLOGY DISRUPTION

Clinical development setbacks highlight the biological boundaries of rapid platform expansion. The failure of norovirus candidate mRNA-1403 to meet Phase 3 interim

REINVESTMENT TREADMILL

Maintaining a clinical pipeline requires massive capital deployment, as shown by FY2025 R&D contributing to an operating loss of $-3.07B. Even with planned reductions toward $4.0B in FY2026 OpEx,

WACC AND DURATION SENSITIVITY

With an equity beta of 1.09 and an 8.73% discount rate, the enterprise valuation is highly sensitive to outer-year assumptions. Capital requirements that extend

Slower adoption of updated boosters could undermine the approximately $1.6B in second-half revenue needed to meet annual expectations.

litigation settlement in Q1 FY2026 and a $950M cash payment in July directly drains liquidity required for corporate development.

of pipeline pillars intended to replace lost COVID-19 product sales.

statistical criteria in Q2 FY2026 demonstrates that mRNA efficacy does not transfer automatically across every pathogen.

continuous trial reinvestment delays structural free cash flow generation.

beyond targeted 2028 operational breakeven milestones could force balance sheet dilution at depressed valuations.

The strengths

OLIGOPOLY POSITION

Moderna maintains an established commercial mRNA infrastructure, generating $971M in COVID sales in Q3 FY2025. Regulatory approvals across 40 countries for strain updates underscore deep institutional distribution capabilities.

FCF COMPOUNDING

Aggressive corporate expense cuts are taking hold, with combined cash operating costs dropping 26% year over year in Q1 FY2026. In Q2 FY2026, cost of sales fell 22% due to improved manufacturing utilization, establishing operating leverage for future revenue growth.

GEOGRAPHIC DURABILITY

International regulatory momentum broadens revenue diversity, highlighted by European Union approvals for mCOMBRIAX and mNEXSPIKE. In Q1 FY2026, international deliveries drove revenue expansion of 260% year over year to $389M.

PIPELINE OPTIONALITY

Therapeutic assets beyond infectious diseases offer transformational growth opportunities. Intismeran Phase 2b data demonstrating a 49% reduction in recurrence or death versus KEYTRUDA positions the oncology platform for substantial long-term value creation.

The bottom line on risk and reward

Moderna presents an asymmetric risk profile skewed toward fundamental valuation compression. While the organization possesses verified technical capabilities and has proven its capacity to rapidly manufacture and distribute mRNA therapies globally, current market pricing reflects unrealistic expectations. An equity capitalization of $87.0B cannot be fundamentally justified by an operational base that delivered $1.92B in FY2025 revenue, generated an EBIT loss of $-3.07B, and consumed $-2.08B in free cash flow. Even after accounting for aggressive

internal cost discipline that reduced FY2025 OpEx to $5.0B and targets ~$4.0B in FY2026, the ongoing litigation cash drain of more than $1.8B across recent settlements significantly restricts the financial runway.

Our quantitative scenario analysis indicates that market expectations have outpaced operational realities. The base case valuation of $93.75 already incorporates an ambitious 43.2% revenue CAGR through FY2030 and an expansion in free cash flow margin to 32.9%. To validate the current spot price of $217.95, an investor must assume that revenue growth exceeds our bull case projection of 57.0% annually while achieving a 42.1% terminal FCF margin without encountering any clinical setbacks, regulatory pushback, or seasonal demand erosion. Given the Phase 3 interim miss for norovirus mRNA-1403 and the historical Refusal-to-File on mRNA-1010, such operational perfection is highly improbable.

Consequently, we reiterate our rating of Hold — Valuation Concerns and establish a probability-weighted blended target price of $100.12. This target, reflecting our 25% bear, 50% base, and 25% bull scenario distribution, implies a -54.1% upside relative to the prevailing reference price of $217.95. We advise institutional investors to maintain a defensive stance, awaiting clearer visibility on seasonal respiratory vaccine market share, final resolution of lipid nanoparticle litigation, and definitive Phase 3 data for Intismeran before committing new capital.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Respiratory Vaccine Portfolio: Navigating Endemic Seasonality and Combination Transitions

The respiratory vaccine franchise serves as the primary commercial engine for Moderna, providing the liquid cash flows required to finance its broad clinical development pipeline. In the endemic operating environment, this franchise is dominated by seasonal COVID-19 formulations and emerging combination vaccine candidates. In FY2025, commercial demand volatility was apparent as total corporate revenue fell 40% year over year to $1.92B, down from $3.2B in FY2024, reflecting widespread vaccination fatigue and an absence of government advance purchase commitments. Despite this contraction, the franchise demonstrated robust seasonal volume capture during fall immunization campaigns, as seen in Q3 FY2025 when quarterly revenue reached $1.0B, driven almost entirely by $971M in COVID vaccine sales.

Geographic distribution within the respiratory franchise illustrates a high dependence on the United States retail pharmacy network. Of the $971M in Q3 FY2025 COVID vaccine revenues, $781M was generated within the United States following the launch of mNEXSPIKE, while international markets contributed $190M. Expanding outside this domestic footprint remains an essential priority for management. International regulatory clearance has progressed steadily, highlighted by Spikevax strain update approvals across 40 countries and the pivotal Q1 FY2026

European Union approvals of mCOMBRIAX, the first combined influenza and COVID-19 vaccine, and mNEXSPIKE, setting up European commercial expansion starting in 2027. International delivery timing also drove the Q1 FY2026 top-line rebound of 260% year over year to $389M.

However, broadening the commercial respiratory franchise beyond COVID monovalent formulations has encountered both commercial and regulatory obstacles. In Q3 FY2025, sales of the newly commercialized RSV product were minimal at just $2M, underscoring the challenge of penetrating mature respiratory markets against entrenched competitors. Furthermore, regulatory execution faced severe disruption in Q4 FY2025 when the FDA issued a Refusal-to-File on the seasonal flu candidate mRNA-1010, deferring a central revenue diversification driver. While regulatory progress subsequently recovered with a unanimous VRBPAC recommendation for mFLUSIVA ahead of its August 5 PDUFA action date, successful commercial integration of standalone flu vaccines remains imperative to stabilize revenue across the full calendar year.

What the recent record shows

- In Q3 FY2025, the respiratory franchise generated $971M in COVID sales, comprising $781M in the United States and $190M internationally following the mNEXSPIKE rollout, while RSV sales generated $2M.
- The FDA issued a Refusal-to-File in Q4 FY2025 for seasonal flu candidate mRNA-1010, delaying expected commercial diversification for the respiratory portfolio.
- The European Union granted market approvals in Q1 FY2026 for both mCOMBRIAX, representing the first combined flu and COVID vaccine, and mNEXSPIKE, targeting European market expansion in 2027.
- In Q2 FY2026, mFLUSIVA received a unanimous VRBPAC recommendation ahead of its August 5 PDUFA action date, positioning the company for its fifth commercial product approval.

> **Our read:** The respiratory franchise remains the fundamental cash foundation of Moderna, yet its extreme seasonality and reliance on fall vaccination campaigns leave operating cash flows vulnerable. While approvals for mCOMBRIAX in Europe and the VRBPAC recommendation for mFLUSIVA offer genuine diversification catalysts, commercial execution must overcome past regulatory delays and weak RSV penetration to sustain corporate liquidity.